

investments is all you can lose. You have no contingent liability.

The basic idea is to leverage about half of your investments (without personal liability) in order to hedge against inflation. Your money is actually multiplied through the leverage. With the other half of your investments debt-free, you can never lose everything.

Recently a friend in the real estate development business called to discuss a problem. It seems his business had suffered a large slump due to the economy in his area. As a result of making a commitment to a no-surety plan and keeping at least half of his assets debt-free, he could release the leveraged investments without losing everything.

But he called to ask for advice about selling some of the debt-free investments to help carry some of the other assets. I asked why he would consider selling the debt-free assets to pay on the others. He replied, "I have tens of thousands of dollars in those investments. I really hate to lose them." What he was about to do was exactly what his associates were doing, risking good assets to feed their debts. In their cases, they had little choice because they had personally endorsed every loan and everything was at risk. But in his case there was a choice.

He was literally gambling that the economy in his area would turn around before his assets were exhausted. I gave him my counsel, which was, "Don't risk good assets to feed loans. If they can't pay their way or be sold, let them go."

He followed this advice and is still in business while most of his associates have failed. In fact, he is developing a new business, managing properties for lenders such as insurance companies and banks that have foreclosed on heavily indebted properties.